

International Manufacturing and Supply Agreement (Multi-Jurisdictional)

MANUFACTURING AND SUPPLY AGREEMENT

This Manufacturing and Supply Agreement ("Agreement") is entered into as of February 1, 2026 ("Effective Date"), by and between:

PARTY A: Precision Components Ltd.

Address: 88 Tai Po Road, Kowloon, Hong Kong

Jurisdiction: Hong Kong SAR

Contact: David Wong, Managing Director

Email: david.wong@precisioncomponents.hk

Party Value: \$85,000,000 (estimated annual revenue)

AND

PARTY B: American Medical Devices Inc.

Address: 2500 Innovation Parkway, Boston, MA 02115

Jurisdiction: Massachusetts

Contact: Dr. Rachel Martinez, VP of Operations

Email: rachel.martinez@amddevices.com

Party Value: \$1,200,000,000 (estimated annual revenue)

RECITALS

WHEREAS, Precision Components Ltd. is a manufacturer of precision-engineered medical device components with facilities in Hong Kong and Shenzhen, China;

WHEREAS, American Medical Devices Inc. designs and distributes surgical instruments and medical diagnostic equipment;

WHEREAS, American Medical Devices desires to engage Precision Components as its exclusive manufacturer for certain medical device components;

NOW, THEREFORE, in consideration of the mutual covenants and agreements herein contained, the parties agree as follows:

1. APPOINTMENT AND EXCLUSIVITY

1.1 Exclusive Manufacturing Rights: American Medical Devices ("Buyer") hereby appoints Precision Components ("Manufacturer") as its exclusive manufacturer for the production of the components specified in Exhibit A ("Products") for sale in North America and Europe.

1.2 Territory: This exclusivity applies only to the territories of the United States, Canada, Mexico, the European Union, and the United Kingdom.

1.3 Exclusivity Obligations: During the term of this Agreement, Manufacturer shall not:

- Manufacture the Products or substantially similar products for any third party without Buyer's prior written consent
- Use Buyer's proprietary designs, specifications, or tooling for any purpose other than manufacturing Products under this Agreement
- Compete directly with Buyer in the sale of the Products in the Territory

1.4 Minimum Purchase Requirement: To maintain exclusivity, Buyer must purchase a minimum of \$12,000,000 worth of Products annually. Failure to meet this minimum for two consecutive years shall automatically terminate the exclusivity provisions, converting this to a non-exclusive arrangement.

2. PRODUCT SPECIFICATIONS AND QUALITY

2.1 Specifications: Manufacturer shall produce all Products in strict accordance with the specifications, drawings, and quality standards set forth in Exhibit B, as may be updated from time to time by written agreement.

2.2 Regulatory Compliance: Manufacturer shall:

- Comply with all applicable FDA regulations, including 21 CFR Part 820 (Quality System Regulation)
- Maintain ISO 13485:2016 certification throughout the term of this Agreement
- Comply with EU Medical Device Regulation (MDR) 2017/745
- Maintain all necessary manufacturing licenses and permits

2.3 Quality Assurance: Manufacturer shall:

- Implement and maintain a comprehensive quality management system
- Conduct incoming material inspections and in-process quality checks
- Provide Certificates of Conformance with each shipment
- Retain quality records for a minimum of 10 years
- Allow Buyer and regulatory authorities to audit facilities upon reasonable notice

2.4 Product Testing: Each batch of Products shall undergo the testing protocols specified in Exhibit C. Manufacturer shall provide test results and certificates of analysis with each shipment.

2.5 Non-Conforming Products: If any Products fail to meet specifications:

- Manufacturer shall, at its expense, replace or repair non-conforming Products within 15 business days
- If non-conformance exceeds 5% of any shipment, Buyer may reject the entire shipment
- Manufacturer shall reimburse Buyer for any inspection costs associated with rejected shipments

3. PRICING AND PAYMENT TERMS

3.1 Product Pricing: The prices for Products shall be as set forth in Exhibit D ("Pricing Schedule"). Prices are quoted in USD, FOB Hong Kong.

3.2 Price Adjustments: Manufacturer may request price adjustments annually, effective January 1st of each year, based on:

- Changes in raw material costs (supported by documentation)
- Changes in labor costs exceeding 8% annually
- Changes in regulatory requirements imposing additional costs

Price increases shall not exceed 6% per year without Buyer's written consent.

3.3 Payment Terms:

- Payment shall be made within 60 days of invoice date via wire transfer
- Invoices shall be issued upon shipment
- A 2% discount applies for payment within 15 days
- Late payments shall accrue interest at 1.8% per month or the maximum legal rate, whichever is less

3.4 Currency Fluctuation: If the Hong Kong Dollar depreciates or appreciates by more than 10% against the US Dollar within any 6-month period, either party may request renegotiation of pricing.

3.5 Tooling and Setup Costs: Buyer shall pay \$450,000 for initial tooling, molds, and setup costs within 30 days of Agreement execution. Upon termination, all tooling shall become Buyer's property.

4. DELIVERY AND SHIPPING

4.1 Lead Times: Standard lead time for orders shall be 90 days from receipt of purchase order. Expedited orders may be accommodated with a 15% surcharge and 45-day lead time, subject to availability.

4.2 Shipping Terms: All shipments shall be FOB Hong Kong (Incoterms 2020). Buyer shall arrange and pay for all international shipping, customs clearance, and insurance.

4.3 Delivery Schedule: Manufacturer shall deliver Products according to the delivery schedule specified in each purchase order. Time is of the essence.

4.4 Delay Penalties: For each week of delay beyond the agreed delivery date (excluding delays caused by Force Majeure or Buyer's actions), Manufacturer shall pay liquidated damages of 0.5% of the order value, up to a maximum of 5% of the order value.

4.5 Packaging and Labeling: All Products shall be packaged in accordance with Exhibit E and labeled with:

- Product identification and lot numbers
- Manufacturing date and expiration date (if applicable)
- Country of origin
- Any regulatory markings required by destination country

5. INTELLECTUAL PROPERTY

5.1 Buyer's IP: All designs, specifications, drawings, technical data, trademarks, and other intellectual property provided by Buyer ("Buyer IP") shall remain the exclusive property of Buyer.

5.2 License to Manufacture: Buyer grants Manufacturer a limited, non-exclusive, non-transferable license to use Buyer IP solely for the purpose of manufacturing Products under this Agreement.

5.3 Confidential Treatment: Manufacturer shall treat all Buyer IP as Confidential Information and shall not:

- Disclose Buyer IP to any third party without prior written consent
- Use Buyer IP for any purpose other than manufacturing Products
- Reverse engineer or attempt to derive Buyer's proprietary formulations or processes
- File any patent applications or register any trademarks based on Buyer IP

5.4 Improvements: Any improvements, modifications, or derivatives of Buyer IP developed by Manufacturer during the term of this Agreement shall be the sole property of Buyer. Manufacturer hereby assigns all right, title, and interest in such improvements to Buyer.

5.5 Manufacturer's Process IP: Manufacturer retains ownership of its general manufacturing processes, equipment, and know-how that are not specific to Buyer's Products.

6. CONFIDENTIALITY AND DATA PROTECTION

6.1 Confidential Information: "Confidential Information" includes all non-public information disclosed by either party, including but not limited to:

- Technical specifications, formulations, and manufacturing processes
- Business strategies, customer lists, and pricing information
- Financial data and forecasts
- Quality records and regulatory submissions
- Product development roadmaps

6.2 Non-Disclosure Obligations: Each party shall:

- Maintain strict confidentiality of the other party's Confidential Information
- Limit access to employees, contractors, and subcontractors with a legitimate need to know who are bound by equivalent confidentiality obligations
- Implement appropriate physical, technical, and administrative safeguards

- Not use Confidential Information for any purpose other than performance of this Agreement

6.3 Duration: Confidentiality obligations shall continue for 7 years following termination of this Agreement, except for trade secrets which shall be protected in perpetuity.

6.4 Data Protection: Manufacturer shall comply with all applicable data protection laws, including GDPR and Hong Kong Personal Data (Privacy) Ordinance, with respect to any personal data processed in connection with this Agreement.

7. WARRANTIES

7.1 Product Warranties: Manufacturer warrants that all Products shall:

- Conform to the specifications in Exhibit B
- Be free from defects in materials and workmanship for 24 months from date of shipment
- Be manufactured using new, non-refurbished materials
- Be fit for their intended medical device application
- Not infringe any third-party intellectual property rights

7.2 Regulatory Warranties: Manufacturer warrants that:

- It maintains all necessary licenses and permits for medical device manufacturing
- Manufacturing facilities comply with FDA, ISO 13485, and EU MDR requirements
- All Products are manufactured in accordance with applicable Good Manufacturing Practices (GMP)

7.3 Title Warranty: Manufacturer warrants that it has good and marketable title to all Products and that Products are free from any liens or encumbrances.

7.4 Warranty Remedies: In the event of a warranty breach, Buyer may, at its option:

- Require Manufacturer to repair or replace defective Products at Manufacturer's expense

- Receive a credit or refund for defective Products
- If defects are systemic or affect more than 10% of Products, terminate this Agreement for cause

7.5 DISCLAIMER: EXCEPT AS EXPRESSLY SET FORTH IN THIS SECTION 7, MANUFACTURER MAKES NO OTHER WARRANTIES, EXPRESS OR IMPLIED, INCLUDING ANY IMPLIED WARRANTIES OF MERCHANTABILITY OR FITNESS FOR A PARTICULAR PURPOSE. BUYER ACKNOWLEDGES THAT IT IS RESPONSIBLE FOR DETERMINING THE FITNESS OF PRODUCTS FOR THEIR INTENDED USE.

8. PRODUCT LIABILITY AND INDEMNIFICATION

8.1 Manufacturer Indemnification: Manufacturer shall indemnify, defend, and hold harmless Buyer, its affiliates, officers, directors, employees, and agents from and against any and all claims, damages, liabilities, costs, and expenses (including reasonable attorneys' fees and expert witness fees) arising from or relating to:

- Any breach of Manufacturer's warranties under Section 7
- Defects in materials or workmanship in the Products
- Manufacturer's failure to comply with applicable manufacturing regulations
- Any contamination or foreign matter in the Products
- Product liability claims to the extent caused by manufacturing defects
- Infringement of third-party intellectual property rights by the Products or manufacturing process

8.2 Buyer Indemnification: Buyer shall indemnify, defend, and hold harmless Manufacturer from and against any claims arising from:

- Defects in Buyer's design or specifications (excluding manufacturing defects)
- Buyer's marketing, labeling, or instructions for use of the Products
- Buyer's failure to obtain necessary regulatory approvals for Products
- Product liability claims to the extent caused by design defects or user error (not manufacturing defects)

- Any modifications to Products made by Buyer or its customers after delivery

8.3 Notice and Cooperation: The indemnified party shall:

- Provide prompt written notice of any claim (not to exceed 10 business days)
- Provide reasonable cooperation in the defense of any claim
- Allow the indemnifying party to control the defense and settlement negotiations
- Not admit liability or settle any claim without the indemnifying party's prior written consent

8.4 Product Recalls: In the event of a product recall:

- If the recall is due to manufacturing defects, Manufacturer shall bear all costs, including product replacement, logistics, customer notification, and regulatory reporting
- If the recall is due to design defects or other causes within Buyer's control, Buyer shall bear all costs
- Both parties shall cooperate fully in any recall and maintain appropriate recall insurance

8.5 Insurance: Manufacturer shall maintain the following insurance throughout the term:

- Product liability insurance: minimum \$10,000,000 per occurrence, \$20,000,000 aggregate
- General liability insurance: minimum \$5,000,000 per occurrence
- Property insurance covering all tooling and equipment
- Workers' compensation as required by law

Buyer shall be named as an additional insured on all liability policies.

9. LIMITATION OF LIABILITY

9.1 Cap on Liability: EXCEPT FOR (A) INDEMNIFICATION OBLIGATIONS UNDER SECTION 8, (B) BREACHES OF CONFIDENTIALITY OR INTELLECTUAL PROPERTY PROVISIONS, (C) GROSS NEGLIGENCE OR WILLFUL MISCONDUCT, OR (D) PRODUCT LIABILITY CLAIMS, NEITHER PARTY'S TOTAL LIABILITY UNDER THIS AGREEMENT SHALL EXCEED THE TOTAL FEES PAID BY BUYER IN THE 12 MONTHS PRECEDING THE EVENT GIVING RISE TO LIABILITY.

9.2 Exclusion of Consequential Damages: EXCEPT FOR INDEMNIFICATION OBLIGATIONS, NEITHER PARTY SHALL BE LIABLE FOR ANY INDIRECT, INCIDENTAL, SPECIAL, CONSEQUENTIAL, OR PUNITIVE DAMAGES, INCLUDING LOST PROFITS, LOSS OF REVENUE, LOSS OF DATA, OR BUSINESS INTERRUPTION, EVEN IF ADVISED OF THE POSSIBILITY OF SUCH DAMAGES.

10. TERM AND TERMINATION

10.1 Initial Term: This Agreement shall commence on the Effective Date and continue for an initial term of 5 years.

10.2 Renewal: This Agreement shall automatically renew for successive 2-year terms unless either party provides written notice of non-renewal at least 180 days prior to the end of the then-current term.

10.3 Termination for Convenience: Either party may terminate this Agreement without cause upon 12 months' prior written notice. Buyer shall pay for all Products ordered and delivered during the notice period.

10.4 Termination for Cause: Either party may terminate this Agreement immediately upon written notice if:

- The other party materially breaches this Agreement and fails to cure within 60 days of written notice (30 days for payment breaches)
- The other party becomes insolvent, files for bankruptcy, or makes an assignment for the benefit of creditors
- The other party's manufacturing or business license is suspended or revoked
- The other party suffers a change of control that negatively impacts its ability to perform

10.5 Termination for Quality Issues: Buyer may terminate immediately if:

- Manufacturer fails any FDA, ISO, or regulatory audit resulting in a warning letter or suspension

- Defect rates exceed 8% for three consecutive months
- Manufacturer ships Products that pose a safety risk to patients

10.6 Effects of Termination:

- Buyer shall pay for all conforming Products delivered prior to termination
- Manufacturer shall deliver all work-in-progress and raw materials purchased specifically for Buyer's Products (Buyer shall pay fair value)
- All tooling shall be transferred to Buyer or Buyer's designee within 30 days
- Manufacturer shall return or destroy all Buyer IP within 60 days
- Sections 5, 6, 8, 9, and 11 shall survive termination

10.7 Transition Assistance: Upon termination or expiration, Manufacturer shall provide reasonable transition assistance for up to 6 months to enable Buyer to transfer manufacturing to a new supplier, including:

- Technical documentation and manufacturing know-how
- Training of new supplier's personnel (at Buyer's expense)
- Continued supply at existing prices during transition period

11. GENERAL PROVISIONS

11.1 Governing Law and Jurisdiction:

- This Agreement shall be governed by the laws of the State of New York, USA, without regard to conflict of law principles
- The United Nations Convention on Contracts for the International Sale of Goods (CISG) shall not apply
- For disputes involving amounts less than \$500,000, the parties submit to the exclusive jurisdiction of courts in New York, New York
- For disputes involving amounts of \$500,000 or more, disputes shall be resolved through binding arbitration

11.2 Arbitration: Disputes exceeding \$500,000 shall be resolved through binding arbitration administered by the International Chamber of Commerce (ICC) under its Rules of Arbitration:

- Seat of arbitration: Singapore
- Language: English
- Number of arbitrators: Three (3)
- Each party shall appoint one arbitrator; the two arbitrators shall appoint the third
- The prevailing party shall be entitled to recover reasonable attorneys' fees and costs

11.3 Export Controls and Trade Compliance:

- Each party shall comply with all applicable export control laws, including US Export Administration Regulations, International Traffic in Arms Regulations, and Hong Kong import/export regulations
- Manufacturer shall not export or re-export any Products or technical data to any prohibited countries or sanctioned entities
- Buyer represents that it is not on any government restricted parties list
- Each party shall obtain all necessary export licenses and permits

11.4 Anti-Corruption and Anti-Bribery:

- Both parties shall comply with all applicable anti-corruption laws, including the US Foreign Corrupt Practices Act (FCPA) and Hong Kong Prevention of Bribery Ordinance
- Neither party shall offer, promise, give, or authorize any payment or anything of value to government officials or third parties to obtain or retain business
- Each party represents that it has implemented appropriate anti-corruption policies and training

11.5 Modern Slavery and Labor Standards:

- Manufacturer represents that it complies with all applicable labor laws and does not use forced labor, child labor, or human trafficking
- Manufacturer shall comply with the UK Modern Slavery Act 2015 and California Transparency in Supply Chains Act

- Buyer may audit Manufacturer's labor practices upon reasonable notice
- Breach of this provision is grounds for immediate termination

11.6 Force Majeure: Neither party shall be liable for failure to perform due to events beyond its reasonable control, including:

- Acts of God, natural disasters, epidemics, or pandemics
- War, terrorism, civil unrest, or government actions
- Labor disputes not involving the party's own employees
- Failure of suppliers or utilities

The affected party shall provide prompt notice and use reasonable efforts to mitigate. If Force Majeure continues for more than 120 days, either party may terminate upon written notice.

11.7 Assignment: Neither party may assign this Agreement without the other party's prior written consent (not to be unreasonably withheld), except:

- Either party may assign to an affiliate or successor in connection with a merger, acquisition, or sale of substantially all assets
- Buyer may assign its rights to receive Products to any affiliate
- Any attempted assignment in violation of this provision shall be void

11.8 Subcontracting: Manufacturer may not subcontract any manufacturing without Buyer's prior written approval. Any approved subcontractors must:

- Meet the same quality and regulatory standards as Manufacturer
- Execute appropriate confidentiality and quality agreements
- Be subject to audit by Buyer

Manufacturer remains fully liable for all subcontractor performance

11.9 Compliance with Laws: Each party shall comply with all applicable federal, state, local, and foreign laws, regulations, and ordinances in the performance of this Agreement.

11.10 Independent Contractors: The parties are independent contractors. Nothing in this Agreement creates a partnership, joint venture, agency, franchise, or employment relationship.

11.11 Notices: All notices shall be in writing and delivered by:

- International overnight courier (DHL, FedEx)
- Email with read receipt confirmation
- Registered mail with return receipt requested

Notices shall be effective upon receipt.

11.12 Entire Agreement: This Agreement, including all exhibits, constitutes the entire agreement between the parties and supersedes all prior agreements, understandings, and communications, whether written or oral.

11.13 Amendments: This Agreement may be amended only by a written instrument signed by authorized representatives of both parties.

11.14 Severability: If any provision is held invalid or unenforceable, the remaining provisions shall continue in full force, and the invalid provision shall be modified to the minimum extent necessary to make it enforceable.

11.15 Waiver: No waiver of any provision shall be effective unless in writing. No waiver shall constitute a continuing waiver or waiver of any other provision.

11.16 Counterparts: This Agreement may be executed in counterparts, each of which shall be deemed an original and all of which together shall constitute one instrument. Electronic signatures shall be valid and binding.

11.17 Language: This Agreement is executed in English. Any translation is for convenience only; the English version shall control in the event of any inconsistency.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the Effective Date.

PRECISION COMPONENTS LTD.

By: _____

Name: David Wong

Title: Managing Director

Date: February 1, 2026

AMERICAN MEDICAL DEVICES INC.

By: _____

Name: Dr. Rachel Martinez

Title: Vice President of Operations

Date: February 1, 2026

EXHIBIT A - PRODUCT LIST

[Detailed product specifications would be listed here]

EXHIBIT B - TECHNICAL SPECIFICATIONS

[Engineering drawings and specifications would be attached]

EXHIBIT C - TESTING PROTOCOLS

[Quality control and testing procedures would be detailed here]

EXHIBIT D - PRICING SCHEDULE

[Price list by product SKU would be included here]

EXHIBIT E - PACKAGING REQUIREMENTS

[Packaging and labeling specifications would be described here]